Hearst x Zand Bank -- Product & Partnership Brief

Hearst Yield Vault -- institutional distribution (B2B -> B2B2C)

Prepared for the Zand Bank demonstration -- July 2026. Confidential. Not an offer or solicitation.

1. Executive summary

- Hearst manufactures an institutional, on-chain-verifiable USDC yield vault -- the Hearst Yield Vault. Hearst operates strictly B2B: it never faces end-clients.
- Proposal: Zand distributes the vault under its own licences (CBUAE banking licence; VARA-approved digital-asset custody) through two channels:
    1. Institutional clients of Zand, who re-distribute the product to their own books;
    2. Zand's direct clients on its own platform (wealth shelf).
- Structures on the table:
    1. A dedicated vault provisioned for Zand at an agreed size, distributed inside the Zand platform;
    2. A joint venture on the product (co-branded vault, shared economics);
    3. An exclusive distribution mandate, with all client-facing distribution running through Zand and its licences.
- The platform is live today: account provisioning and onboarding (KYC-gated), subscription with institutional minimums, per-investor positions and statements, monthly USDC distribution runs with dual-control (two-signer) confirmation and a per-LP ledger, a Proof Center with public on-chain verification, and an operator console that a distributor's ops team can run.

2. The product -- Hearst Yield Vault

- Single institutional USDC vault combining three yield engines in one wrapper:
    1. Bitcoin mining cash-flow -- revenue-share agreements with operating mining farms; production data attested monthly and cryptographically anchored;
    2. USDC base yield -- tokenised T-bills and institutional stable lending;
    3. BTC tactical sleeve -- rule-based accumulation and profit-taking, sized by explicit rules.
- Target net APY: 9.4-12.8% (range), inside a stress envelope of 8-15%. APY is always published as a range together with its stressed case -- never a single point. Returns are not guaranteed.
- Distributions: monthly, in USDC, T+5 after epoch close.
- Class A terms: USD 250,000 minimum subscription - 60-day soft lock-up - 1% management + 10% performance fee with high-watermark.
- Class B terms (large allocators): USD 1,000,000 minimum - 90-day lock-up - 0.75% management + 8% performance.
- Legal wrapper: Cayman Exempted Limited Partnership (ELP). Professional / qualified investors only -- no retail offering by Hearst.
- Product range on the same manufacturing framework: Yield (9.4-12.8% target) - Defensive (5-8% target) - BTC Plus (10-20% target). Each vault carries its own assumptions, share classes and provenance -- no vault silently reuses another's numbers.

3. Verifiability -- why "decentralised" is demonstrable, not declared

- Smart-contract layer deployed and publicly verifiable today on Base Sepolia (test-network pilot): an ERC-4626 vault (industry-standard share accounting; share token hyvUSDC, asset = USDC), an on-chain Event Logger, and a Proof-of-Reserves Registry. Contract addresses and deployment transactions are public on BaseScan -- verification does not require trusting Hearst.
- Mainnet deployment is deliberately gated on a completed independent security audit and remediation. This is presented openly as governance discipline: a phased rollout, not a shortcut.
- Provenance on every metric: each number on the platform carries a badge -- Live / Oracle / Attested / Estimated / Manual / Stale. The system refuses to display better provenance than it can prove.

- Attestations anchored on-chain: the keccak256 digest of each signed monthly mining attestation is the evidenceHash pinned in the on-chain PoR Registry -- full continuity between the off-chain signed document and the on-chain proof.
- Custody: Fireblocks (institution-grade); read-only proof-of-reserves feed into the Proof Center.
- Governance design: multisig (Safe) + EIP-712 approvals + timelock; a separate guardian role can only pause the vault, never move funds.
- No black-box automation: rebalancing follows 8 explicit rules across 3 regimes (Defensive / Balanced / Opportunistic); every action is expressed as Projection -> Trigger -> Action -> Impact (PTAI), simulated before execution, and requires human multisig approval. The AI layer never executes financial or custodial actions.

4. The platform (what the demo shows)

Client cockpit -- account activation -> qualification / accreditation attestations -> KYC -> subscription checkout with term sheet -> portfolio and position detail (value, yield history, distributions) -> per-investor statements (PDF, provenance-stamped) -> Proof Center -> product assistant (AI chat with a server-side compliance guard: forbidden-claims filter, APY-as-range enforcement, read-only by design).

Operator console (the distribution back-office):
- Client CRM: create and provision accounts, generate activation links, KYC decisioning -- every action written to an audit trail;
- Vault lifecycle: draft -> review -> dual-sign approval -> live;
- Position deployment per client;
- Monthly distribution runs: pro-rata dry-run, then two-admin confirmation; per-LP ledger entries;
- Investor memo generation (with co-branding fields for a partner's name and logo);
- Immutable admin audit log and AI/agent observability (cost, latency, blocked outputs).

5. Distribution models (proposed sequencing)

- Phase 1 -- Omnibus (available now). Zand subscribes as a single institutional LP (omnibus corporate account at an agreed size) and distributes internally to its clients under its own licences and suitability framework. No integration work required.
- Phase 2 -- Named sub-accounts (pilot). Each end-client receives a provisioned account (Zand operator seat on the console): per-client positions, statements and a distribution ledger out of the box.
- Phase 3 -- JV / white-label + partner API (co-build roadmap). Co-branded portal under Zand's brand, partner API (subscriptions, NAV, positions, statements), white-label investor memos (already a named roadmap item), revenue-share on fees. Scope, exclusivity and governance defined in the JV term sheet.
- In every phase, Hearst remains the B2B manufacturer; Zand owns the client relationship and distributes under the CBUAE/VARA umbrella.
- Open legal point (to be confirmed by counsel): the licensing framework for distribution of a Cayman fund product to UAE investors (SCA promotion regime / qualified-investor exemptions / VARA scope).

6. Why Zand x Hearst

Zand -- first fully licensed all-digital UAE bank (CBUAE licence, June 2022); wholesale focus on corporates, institutions and government entities; VARA-approved institutional digital-asset custody (December 2024, onshore UAE HSMs); issuer of AEDZ, the first regulated AED stablecoin on public blockchains (CBUAE-approved, November 2025); partnerships with Chainlink, Ripple (RLUSD) and XDC; Fitch BBB+ (2025); SOC 2 Type II covering blockchain products (2026); wealth management launch announced for Q1 2026; publicly stated joint-venture playbook for GCC/Africa expansion.

The fit:
1. Timing -- an alternative-yield product ready for the new wealth shelf at launch;
2. Shared on-chain thesis -- Zand sells regulated digital-asset trust; Hearst manufactures provable yield (provenance badges, PoR, public contracts);
3. Client match -- Zand's institutional and corporate base fits a USD 250k-minimum product;

4. Rails -- monthly USDC distributions today; AEDZ subscription/distribution rails are a natural joint exploration (a yield vault distributable in a regulated dirham stablecoin);
5. Compliance symmetry -- Zand: CBUAE / VARA / SOC 2 / ISO 27001-27701; Hearst: versioned methodology, audit-gated mainnet, human-in-the-loop controls, software-enforced language policy.

7. Compliance & risk framework (Hearst side)

- Published, versioned methodology (v1.0); every projection displays its assumptions; data-freshness checks (< 24h) feed a confidence score.
- Stress discipline: the stressed APY is always shown next to the target range; scenario analysis in PTAI format (bear market, mining-margin compression, extreme stress).
- Language policy enforced in software on every human-facing output: no "guarantee", "promise", "certain", "will deliver", "risk-free"; APY never as a single point.
- Offering restricted to professional / qualified investors via the Cayman ELP; distribution to UAE clients would run under Zand's licences and suitability obligations, subject to counsel confirmation per jurisdiction.

8. Proposed next steps

1. Demo account handover to Zand (sandboxed investor account on the live platform).
2. Draft term sheet: dedicated vault size, share-class terms, fee split / revenue share.
3. Legal workstream: UAE distribution qualification (CBUAE / SCA / VARA scope), Cayman ELP supplement for the partnership.
4. Pilot: omnibus subscription (Phase 1) while Phase 2 sub-account operations are set up.
5. JV / exclusivity memorandum: scope (UAE first; option on GCC/Africa as Zand expands), governance, co-branding.

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